The Economy This Week.

Tuesday 20 October 2026

Oil is above US$110 and the IEA says it won't settle down soon. China grew on exports, NAB is cutting jobs, and the RBA could raise rates again on Melbourne Cup Day.

Topic 1 · Global Economy · Topic 2 · Australia's Place · Topic 3 · Economic Issues · Topic 4 · Policies & Management

01

China grows 4.5% on exports while spending at home stays weak

TOPIC 1 · GROWTH

02

IEA warns oil above US$110 won't settle down in 2027

TOPIC 1 · SUPPLY SHOCKS

03

US scraps planned tariffs on buyers of Russian oil

TOPIC 1 · PROTECTIONISM

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BHP's copper output falls 19% and iron ore prices drop

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US considers new tariffs on Australian lamb

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Swedish firm EQT agrees to buy Cleanaway for $9.3b

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NAB to cut 2,500 jobs as fears of a downturn grow

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Consumers grow gloomier as petrol passes 240c a litre

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Will the RBA raise rates again on Melbourne Cup Day?

TOPIC 4 · MONETARY POLICY

START HERE

How the nine stories connect

This week's news shares one theme: the world is being hit by an **energy supply shock** while Australia is trying to bring **inflation** down without causing a **recession**. Follow the links from the centre to see how each story fits.



The big exam idea: a **supply shock** pushes prices up and growth down at the same time. This is called **stagflation**. It leaves policymakers with a hard **trade-off** between their inflation and unemployment goals, which is a key point when you discuss the **limitations of macroeconomic policy** (Topic 4).

01 TOPIC 1 · THE GLOBAL ECONOMY

Sources: Fortune, ABC News
19–20 Oct 2026

China grows faster, but exports are doing the heavy lifting

China's economy grew **4.5%** over the year to the September quarter, beating forecasts. The growth came from selling goods overseas, not from spending at home, and that is creating tension with China's trading partners.

WHAT HAPPENED

- Growth rose from **4.3%** in the June quarter, which was China's slowest pace in more than three years.
- Exports jumped **36%** in September alone.
- A long property slump has wiped out household wealth, so families are saving more and spending less.
- Property investment fell **20.6%**. Economists warn that relying on exports makes China a *drag on world growth*.

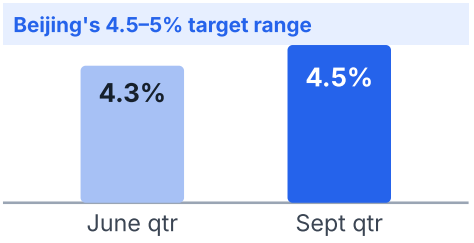
4.5%
GDP growth, year to Sept quarter

+36%
rise in exports in September

US$938b
trade surplus, Jan–Sept 2026

−20.6%
change in property investment

Annual GDP growth (bars not to scale)



KEY TERMS

Trade surplus: when exports are worth more than imports.

Domestic demand: spending by households, businesses and government inside a country.

FLOW CHART — Why China's growth relies on exports, and why that matters for Australia



Why Australia cares: China buys more of our exports than any other country. When China builds less property, it needs less steel, so its demand for our **iron ore** falls (see Story 04). If other countries respond to China's surplus with protectionism, global trade and growth could also slow.

SYLLABUS LINK

Topic 1: economic growth in other economies (China), global trade imbalances, and how globalisation affects trade flows.

TRY THIS

1. Define *trade surplus*. (2 marks)
2. Explain why a weak Chinese property sector could reduce Australia's export revenue. (4 marks)

02

TOPIC 1 · THE GLOBAL ECONOMY

Source: CNN / Scripps News
20 Oct 2026

Oil above US$110, and the IEA says don't expect relief in 2027

> The International Energy Agency (IEA) is the world's main energy watchdog. Its head, Fatih Birol, says he sees **no credible path** to normal oil markets next year, because conflict in the Middle East keeps supply at risk.

WHAT HAPPENED

- Brent crude, the global benchmark oil price, is **above US$111** a barrel, its highest level since May.
- The **Strait of Hormuz** is a narrow sea route that a large share of the world's oil passes through. It has closed once already and could close again.
- **Diesel** prices have roughly **doubled** since before the war. Trucks, farms and mines all run on diesel.
- Countries have released emergency oil stockpiles to ease the shortage.

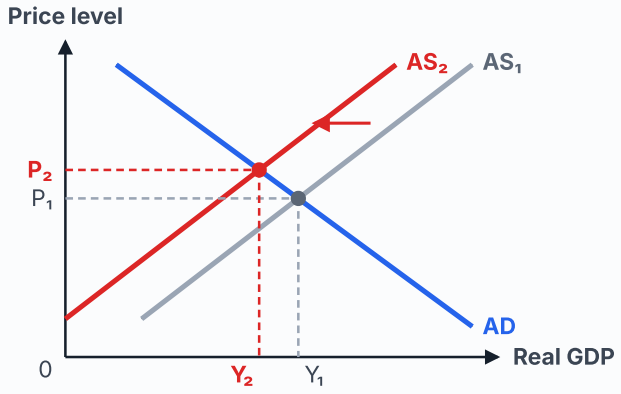
US$111+
Brent crude, per barrel

~2×
diesel price compared with before the war

400m
barrels IEA members agreed to release in March

~80%
of that release already on the market

DIAGRAM A supply shock: aggregate supply shifts to the left



Threat to Middle East supply routes

↓

Oil and diesel cost more, so it costs more to make and move everything

↓

Prices rise ($P_1 \rightarrow P_2$)
and
output falls ($Y_1 \rightarrow Y_2$):
stagflation

SYLLABUS LINK

Topic 1: global supply shocks and energy markets. Also Topic 3: **cost-push inflation**, and Topic 4: the limits of policy when inflation comes from a supply shock.

TRY THIS

Using an AD/AS diagram, explain how a rise in global oil prices affects inflation **and** economic growth in an oil-importing economy such as Australia. (6 marks)

03

TOPIC 1 · THE GLOBAL ECONOMY

Source: CBS News
16–17 Oct 2026

The US scraps planned 100% tariffs on Russia's oil buyers

> A US law was about to put **100% tariffs** on goods from the five biggest buyers of Russian oil and gas, a group that includes China and India. Days before the tariffs were due to start, the US President used his power to **waive** them, saying the main aim was to bring energy prices down.

WHAT HAPPENED

- The law's **500% tariff** on Russian goods was waived too.
- The law lets the President drop the tariffs if he tells Congress it is in the national interest.
- A week earlier the US had eased sanctions on Russian diesel.
- Ukraine's President said the decision was "unfortunate", and some US senators had pushed for the law to be enforced.

100%
planned tariff on the top 5 buyers of Russian energy (waived)

500%
planned tariff on Russian goods (waived)

China · India · Turkey
among the largest buyers of Russian oil and gas

KEY TERMS

Tariff: a tax on imported goods.

Secondary sanctions: penalties on *other* countries that trade with the country being targeted.

DECISION TREE — One policy, two goals that pull against each other

Option A: enforce the tariffs

- Puts more pressure on Russia's war income
- Russian oil is harder to sell, so less reaches the world market
- Oil prices rise further
- Trade wars with China and India become more likely

Option B: waive the tariffs (chosen)

- Russian oil keeps flowing to world markets
- Helps hold energy prices down
- Less pressure on Russia
- Avoids tariffs that would disrupt global supply chains

Exam angle: tariffs are not only used to protect local industries. Governments also use them as **geopolitical tools**. This case shows the **opportunity cost**: lower energy prices at home were valued more than the foreign-policy goal.

SYLLABUS LINK

Topic 1: protectionism and the reasons for it, how trade policy is used by major economies, and the effects on global trade flows.

TRY THIS

Outline **two** reasons other than protecting local industry that a government might impose tariffs. Use this story as an example. **(4 marks)**

04

TOPIC 2 · AUSTRALIA'S PLACE IN THE GLOBAL ECONOMY

Source: ABC News
20 Oct 2026

BHP's copper output falls 19% and its iron ore prices drop

> BHP is Australia's biggest miner. In the September quarter it produced much less copper than expected, and the price it received for iron ore fell. Its results give an early sign of how Australia's **export income** is tracking.

WHAT HAPPENED

- Copper production fell **19%** to **400.7 thousand tonnes**, below market forecasts.
- The average price BHP received for iron ore fell **9%** to **US$76.27** a tonne.
- Energy and mining shares pulled the ASX 200 down **0.3%**.
- The Australian dollar stayed at about **69.8 US cents**.

BHP's own report couldn't be accessed, so these figures come from ABC News.

−19%
BHP copper output

−9%
BHP's iron ore price received

~US$91
iron ore spot price (per tonne)

69.8¢
AUD in US cents

FORMULA + FLOW

From the mine to the current account

TERMS OF TRADE

$$\text{ToT} = \frac{\text{Index of export prices}}{\text{Index of import prices}} \times 100$$

Iron ore is Australia's largest export, so when its price falls the **top line of the ToT ratio** falls. The same quantity of exports then buys fewer imports. On top of this, **lower production volumes** (copper) cut export earnings directly.

China builds less, so needs less steel → Iron ore prices fall and copper output drops → Terms of trade fall → Lower export income, so the balance on goods and services gets worse → Pressure on the current account, and possibly on the AUD

SYLLABUS LINK

Topic 2: terms of trade, commodity prices, Australia's export income and the current account. Also the links between the AUD and commodity prices.

TRY THIS

Explain how a fall in iron ore prices affects Australia's terms of trade and current account balance. **(4 marks)**

05

TOPIC 2 · AUSTRALIA'S PLACE IN THE GLOBAL ECONOMY

Sources: National Law Review, Sheep Central
16–19 Oct 2026

Australian lamb could face new US tariffs

US sheep farmers want protection from imported lamb, most of which comes from Australia and New Zealand. A US trade body is now running a **safeguard** investigation that could end in higher tariffs on Australian lamb.

WHAT HAPPENED

- The US International Trade Commission held its hearing on **16 October**.
- US producers say imported lamb holds about **70%** of the US market.
- The Australian Government has formally joined the case and has raised it directly with the US Trade Representative.

~70%
share of the US lamb market held by imports, mostly from Australia and NZ (US producers' claim)

KEY TERMS

Safeguard: a temporary trade barrier a country can use when a surge in imports seriously harms a local industry.

TIMELINE What happens next

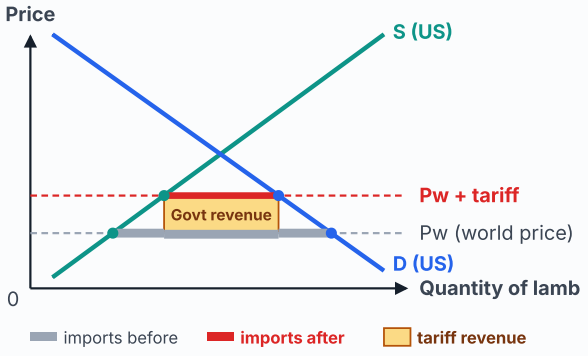
16 Oct
Hearing on whether imports harm US farmers

by 13 Nov
Decision on whether US farmers suffered "serious injury"

1 Dec
Hearing on what remedy to use (only if injury is found)

by 11 Jan
Report goes to the US President, who decides

DIAGRAM How a tariff changes the US lamb market



WINNERS AND LOSERS IF A TARIFF IS IMPOSED

- **US sheep farmers** win: they get higher prices and sell more.
- **US consumers** lose: they pay more and buy less lamb.
- **US government** wins: it collects the tariff on every imported tonne (the shaded box = tariff × imports after).
- **Australian exporters** lose: they sell less into a key market, so **Australia's export income** falls.

SYLLABUS LINK

Topic 2: trade policy affecting Australia. Topic 1: forms of protection (tariffs, safeguards) and their effects.

TRY THIS

Using a diagram, explain the effects of a US tariff on Australian lamb exporters, US producers and US consumers. (6 marks)

06 TOPIC 2 · AUSTRALIA'S PLACE IN THE GLOBAL ECONOMY

Source: ABC News
20 Oct 2026

A Swedish investor agrees to buy Cleanaway for $9.3 billion

> Cleanaway, Australia's biggest waste and recycling company, has agreed to be bought by **EQT**, a Swedish private equity firm. The deal values Cleanaway at about **$9.3 billion** including its debt. When a foreign company buys an Australian business, it shows up in the balance of payments.

WHY THIS MATTERS

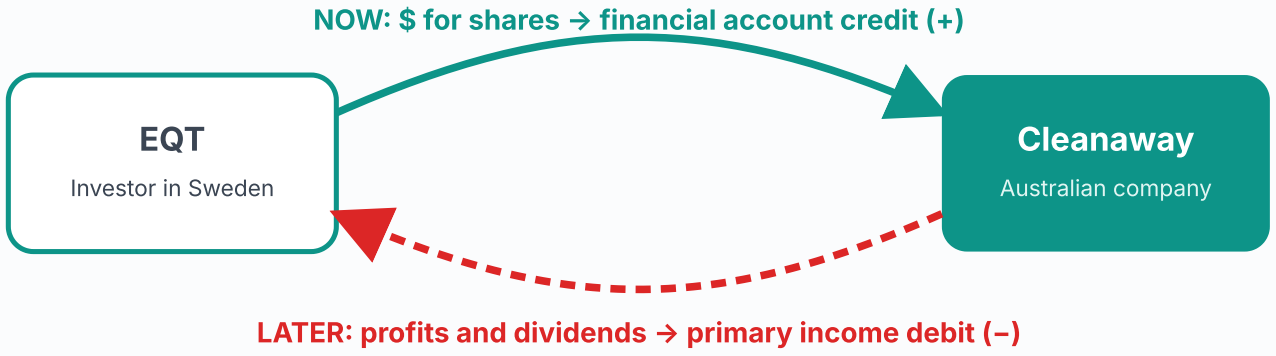
- When a foreign investor buys a controlling stake in an Australian company, it counts as **foreign direct investment (FDI)**.
- The purchase brings money **into** Australia and is recorded as a credit in the **financial account**.
- From then on, the company's profits flow back **out** to the owners in Sweden. They are recorded as debits in **net primary income** in the current account.
- Large foreign takeovers are generally screened by the **Foreign Investment Review Board (FIRB)**.

$9.3b
value of Cleanaway, including its debt

Sweden
where the buyer is based

FDI
type of capital inflow

FLOW DIAGRAM **Money in now, money out later**



⚖ **Weigh it up. Benefits:** it brings in foreign savings and may lead to more investment, new skills and better technology. **Costs:** profits leave Australia, Australians lose control of an essential service, and foreign liabilities grow.

SYLLABUS LINK

Topic 2: foreign investment, the financial account, the link between the capital and financial account and the current account deficit, and foreign liabilities.

TRY THIS

Discuss the costs and benefits of foreign ownership of essential-service companies in Australia. **(6 marks)**

07

TOPIC 3 · ECONOMIC ISSUES

Sources: ABC News, ABS
15–20 Oct 2026

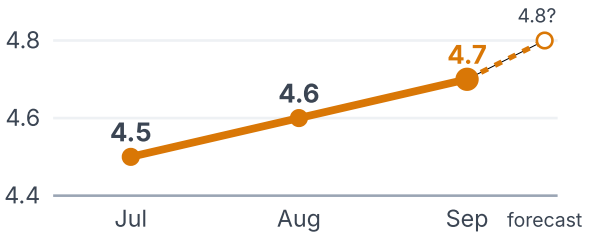
NAB to cut 2,500 jobs as fears of a downturn grow

NAB, one of Australia's big four banks, will cut up to **2,500 jobs** by mid-2027 and says rapid **technological change** is the reason. Other large employers are cutting jobs too, which raises the risk that job losses feed on themselves.

WHAT HAPPENED

- The cuts equal about **6%** of NAB's workforce, and NAB expects a restructuring cost of about **$300m**.
- The unemployment rate reached **4.7%** in September, its highest level since 2021, after **39,000** jobs were lost.
- Productivity fell **0.2%** over the year to June.
- One economist expects unemployment to reach **4.8%**, or **5%** if the RBA raises rates again.

UNEMPLOYMENT RATE, 2026 (%)

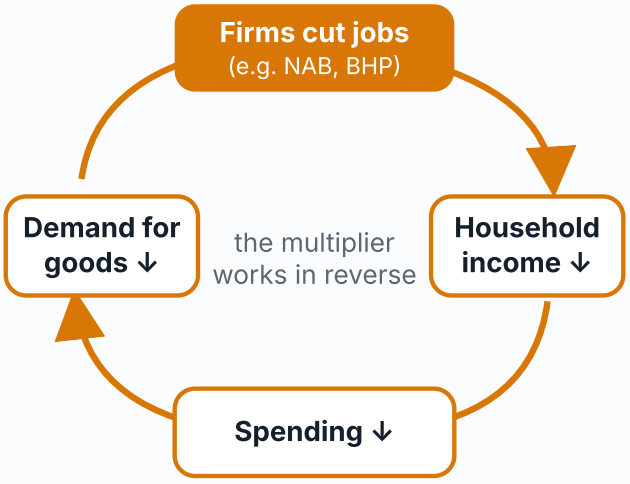


2,500
NAB jobs to go by mid-2027

−39k
jobs lost in September

CYCLE DIAGRAM

The downward spiral economists worry about



WHICH TYPE OF UNEMPLOYMENT?

Structural: NAB is cutting jobs because technology means it needs fewer workers. Those workers' skills may not match the jobs available.

Cyclical: as spending slows across the economy, firms need fewer workers. If the downturn deepens, this type of unemployment grows.

SYLLABUS LINK

Topic 3: unemployment, including its types, causes and costs, the links between economic growth and unemployment, and the effects of technological change.

TRY THIS

Using the NAB job cuts and the September Labour Force data, distinguish between **structural** and **cyclical** unemployment. (4 marks)

08

TOPIC 3 · ECONOMIC ISSUES

Source: ABC News (ANZ-Roy Morgan)
20 Oct 2026

Consumers grow gloomier as petrol passes 240c a litre

> Consumer confidence has fallen again, and Australians now expect prices to keep rising quickly. That matters because **what people expect about inflation** can help make it happen.

67.7	6.2%	242.1¢	~4.0%
ANZ-Roy Morgan consumer confidence (−0.3 pts)	inflation people expect (weekly survey)	average petrol price per litre (+2.4¢)	annual monthly CPI inflation, August

WHAT'S GOING ON

- Fuel prices are rising because of the global oil shock (Story 02).
- People expect inflation of about 6%, well above the RBA's **2–3% target**.
- Some economists expect inflation to rise again in September. The September-quarter CPI comes out on **28 October**.

KEY TERMS

Cost-push inflation: prices rise because it costs more to produce goods, for example when fuel gets more expensive.

Inflationary expectations: how much people think prices will rise. These expectations affect what workers ask for in wages and what businesses charge.

FLOW CHART

How a fuel shock can become ongoing inflation

Petrol and diesel cost more → Transport and production costs rise (cost-push) → People expect higher inflation (6.2%) → Workers ask for higher wages and firms raise prices → Inflation stays high: a wage-price spiral

The catch: when confidence is low, households usually spend less, which slows growth. So the economy faces **higher prices and weaker demand at the same time**. That makes the RBA's job much harder (Story 09).

SYLLABUS LINK

Topic 3: inflation, including its causes (cost-push, demand-pull, expectations), how it is measured (CPI) and its effects. Also the link between consumer confidence and economic growth.

TRY THIS

Explain how rising inflationary expectations can make inflation harder to bring down. **(4 marks)**

09

TOPIC 4 · ECONOMIC POLICIES AND MANAGEMENT

Sources: ABC News, CommBank (RBA minutes)
13–20 Oct 2026

Will the RBA raise rates again on Melbourne Cup Day?

> The Reserve Bank has raised the cash rate **four times this year**, most recently to **4.60%** in September. Its meeting minutes show it was not prepared to wait for inflation to fall on its own. Economists disagree about whether it will raise rates again on **3 November**.

THE DEBATE

- **Case for a rise (ANZ's forecast):** inflation is still too high, inflation expectations are rising, and the minutes say further increases are possible.
- **Case for holding (CBA's forecast):** unemployment is rising, house prices are falling, and earlier rate rises take time to affect the economy.

4.60%
cash rate, after a 0.25 percentage point rise in September

4
rate rises in 2026

2–3%
the RBA's inflation target

FLOW CHART The transmission mechanism: how a rate rise reduces inflation

RBA raises the cash rate → Mortgage and loan rates rise → Households and businesses borrow and spend less → Aggregate demand slows → Inflation eases toward 2–3%

Other channels: a higher AUD makes imports cheaper, and house and share prices fall

Limitation:
higher interest rates can't make more oil, so the RBA can only ease cost-push inflation by slowing demand, which costs jobs

Time lags:
rate rises take 12–18 months to have their full effect

COMING UP Dates to watch

Late Sept
Cash rate raised to 4.60%

Wed 21 Oct
Speech by Deputy Governor Andrew Hauser

Wed 28 Oct
September-quarter CPI released

Tue 3 Nov
RBA decision on Melbourne Cup Day

SYLLABUS LINK

Topic 4: monetary policy, including the RBA's goals and decisions, the transmission mechanism, and the limits of policy (time lags, supply-side shocks, conflicts between objectives).

TRY THIS

Evaluate how effective monetary policy can be in reducing inflation that is caused by rising global oil prices. **(8 marks)**

REVISE

Key data and glossary

4.7%
Unemployment rate, Sept (previous 4.6%) · ABS

4.60%
RBA cash rate (previous 4.35%)

4.5%
China GDP growth, Sept qtr (previous 4.3%)

US$111+
Brent crude oil, per barrel

GLOSSARY

Aggregate demand (AD): all spending in the economy (C + I + G + X − M).

Aggregate supply (AS): all the output producers are willing to supply at each price level.

Cash rate: the interest rate on overnight loans between banks. The RBA sets a target for it.

Cost-push inflation: inflation caused by rising production costs, such as fuel or wages.

Current account: the part of the balance of payments that records trade in goods and services, plus income flowing into and out of Australia.

Financial account: the part of the balance of payments that records investment flowing into and out of Australia, such as FDI.

Foreign direct investment (FDI): investment that gives a foreign owner a lasting, controlling interest in a business.

Safeguard: a temporary trade barrier used when a surge in imports seriously harms a local industry.

Stagflation: high inflation and weak or falling growth at the same time.

Structural unemployment: unemployment caused by a mismatch between workers' skills and the jobs available, often after technological change.

Terms of trade: export prices compared with import prices, shown as an index.

Transmission mechanism: the chain of effects through which a change in the cash rate affects demand and inflation.

SOURCES

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8. Australian Bureau of Statistics, "Unemployment rate at 4.7% in September", 15 Oct 2026 – abs.gov.au
9. CommBank, analysis of the RBA minutes, Oct 2026 – commbank.com.au

All summaries are in our own words. Figures were checked against the sources listed. Where an original source couldn't be accessed, this is noted on the story page.